

THE SESSION · POST-CLOSE READ

Rotation, Not *Retreat*

The Dow added 1.03% while the Nasdaq eased 0.23% as capital left merchant silicon for industrials, steel and staples. Dividend Strategy gained 0.57%; Growth Portfolio gave back 1.30% into tomorrow's Fed decision.

S&P 500 ▲ 0.20%

NASDAQ ▼ 0.23%

DOW ▲ 1.03%

VIX 18.27

BRENT ▼ \$87

DIVIDEND STRATEGY

▲ BEAT SPY · TRAILED DVY

+0.57%

1-DAY

FCI		+0.57%
DVY		+1.40%
SPY		+0.26%

YTD +21.23% vs DVY +19.14% · SPY +9.21%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.30%

1-DAY

FCI		-1.30%
IUSG		-0.28%

YTD +13.24% vs IUSG +7.85%

THE SESSION

The market did not fall today — it changed hands. The Dow Jones Industrial Average rose 1.03% to 52,747.53 while the Nasdaq Composite eased 0.23% to 24,874.45 and the S&P 500 added 0.20% to 7,428.16 — a spread of better than 120 basis points between the blue-chip average and the tech-heavy index in a single session. The proximate cause arrived overnight from Seoul, where the semiconductor complex extended Monday's reset, and it carried through the U.S. open in the merchant-silicon and memory names. What is worth noticing is where the money went rather than where it left: industrials, materials, staples and payroll processors absorbed it, and the Dow closed within reach of its high. Sherwin-Williams and Coca-Cola led the average on second-quarter results. Brent settled near \$87, roughly 1.5% lower, as the U.S.–Iran pause held and Caspian Pipeline loadings resumed — a meaningful softening of the energy pass-through that had been shaping the inflation debate a week ago.

The two sleeves separated along exactly that fault line. Dividend Strategy added 0.57%, ahead of SPY's 0.26% but behind DVY's 1.40% — a day when the high-dividend index caught the full force of the rotation into utilities, financials and domestic cyclicals, and our more quality-weighted construction captured a portion of it. SSNC, STLD, ADP and PCAR each added better than 3.5%, and that was enough to offset LRCX's 7.54% decline within the same sleeve. Growth Portfolio gave back 1.30% against IUSG's 0.28%. The gap is not mysterious: the sleeve holds AMD, MRVL, CRDO, NXPI, TSM and KEYS, and every one of them sits in the cohort being repriced. NVDA, notably, finished higher at \$197.01 — the AI trade is narrowing toward the name with the clearest earnings, not abandoning the theme.

A sleeve that never trails its benchmark is a sleeve that never owns anything worth owning. Concentration is the price of conviction, and it is paid on days like this one.

Tomorrow is dense. The FOMC announces at 2:00 p.m. Eastern with Chair Warsh's press conference at 2:30; consensus expects the target range held at 3.50%–3.75%, though futures have carried a meaningful minority probability of a hike all week. ADP reports fiscal fourth-quarter results before the open, LRCX and QCOM report after the close, and Microsoft and Meta follow with the hyperscaler capital-spending com-

mentary that has driven the entire semiconductor repricing. We are not making portfolio decisions ahead of any of it. The businesses we own generate cash, return it, and compound through cycles in which the market periodically decides that the future belongs to a different group of tickers than it did the previous month.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NOW +4.79%

GROWTH

Post-earnings recovery extended as capital rotated from silicon into enterprise software; management's raised full-year subscription guidance continues to draw buyers.

SSNC +3.81%

DIVIDEND

Financial-services software caught the same rotation bid that lifted the broader enterprise-software complex.

STLD +3.78%

DIVIDEND

Domestic steel firmed alongside the cyclical leadership in the Dow; the group traded well following peer second-quarter results.

DECLINERS

AMD -8.15%

GROWTH

Led the merchant-silicon decline as the Seoul selling carried into U.S. hours; the stock has been repricing since its late-July product event, with results due August 4.

MRVL -7.77%

GROWTH

AI-networking and optical names sold together as investors questioned the pace of infrastructure spending.

CRDO -7.62%

GROWTH

Connectivity silicon moved with the cohort; no company-specific disclosure.

ADP +3.60%

DIVIDEND

Bid into fiscal fourth-quarter results due Wednesday before the open; consensus looks for \$2.59 per share on roughly \$5.44 billion.

PCAR +3.57%

DIVIDEND

Second-quarter results and the accompanying call drew buyers back into the commercial-truck cycle.

SYK +2.93%

DIVIDEND

Medical technology participated in the defensive and quality bid that carried the industrial average.

LRCX -7.54%

DIVIDEND

Wafer-fabrication equipment sold ahead of Wednesday's fiscal fourth-quarter report, with memory capital-spending expectations being recalibrated across the group.

VST -5.37%

GROWTH

AI-adjacent power weakened with the capital-spending debate; the independent power producers traded as a group rather than on company news.

QCOM -4.21%

DIVIDEND

Eased with the broader chip complex ahead of its own results Wednesday after the close.

HOLDINGS NEWS

ServiceNow's quarter keeps working. The second-quarter report that lifted NOW on Monday continued to draw buying Tuesday. Adjusted earnings of \$0.90 per share came in above the roughly \$0.86 consensus on revenue of \$3.99 billion against \$3.93 billion expected, with subscription revenue up 24.5% year over year to \$3.88 billion. Management lifted the full-year subscription revenue guidance mid-point to approximately \$15.77 billion, implying around 21% constant-currency growth, and disclosed that annual contract value tied to AI products has crossed \$1 billion. The detail that moved analysts most:

roughly half of net new business is now priced on something other than a per-seat basis, which speaks directly to the concern that agentic tooling would erode seat-based software economics.

Wednesday concentrates the calendar. Three holdings report inside a single session. ADP delivers fiscal fourth-quarter results before the open, with consensus at \$2.59 per share on roughly \$5.44 billion and full-year guidance previously set at \$11.01–\$11.11. LRCX and QCOM both report after the close — LRCX with consensus near \$1.69 per share on about \$6.66 billion, following last quarter's \$5.84 billion, up 23.8% year over year. Between them sits the Fed at 2:00 p.m.

Eastern, and after them Microsoft and Meta, whose capital-spending commentary is the actual variable the semiconductor complex has been trading on for three weeks.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.23%

vs DVY +19.14% / SPY +9.21%

GROWTH PORTFOLIO

+13.24%

vs IUSG +7.85%